

THE PLAN, IN FOUR NUMBERS

The Simple Version

BALANCE

\$100,000

RISK PER TRADE

1% = \$1,000

TRADES PER WEEK

5 - one each

REWARD

1:3 to 1:5

HOW TO READ EVERY NUMBER IN THIS DOCUMENT

1R = \$1,000. That is what you lose if a stop is hit, and it is the same on all five assets. A 1:3 winner pays 3R = \$3,000. A 1:5 winner pays 5R = \$5,000. Gold, oil, silver, bitcoin and the Dow - one trade each, once a week.

Week A - two stopped out, three winners

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stopped out	-1R	-\$1,000
WTIUSD	Stopped out	-1R	-\$1,000
XAGUSD	Target hit 1:3	+3R	+\$3,000
BTCUSD	Target hit 1:3	+3R	+\$3,000
DJIUSD	Target hit 1:5	+5R	+\$5,000
TOTAL	5 trades	+9R	+\$9,000

WEEK A PROFIT

+\$9,000

+9R on the week, or +9% of the balance. Two losses cost \$2,000 between them; the three winners brought back \$11,000.

IF THE THIRD WINNER ALSO RUNS TO 1:5

Two of the three winners were named as 1:3 and 1:5, so the third is taken as a 1:3 here. If it reaches 1:5 instead, the week is **+11R = +\$11,000** rather than +9R.

SCENARIO TWO

Week B - stops moved to entry

Same five trades, same \$1,000 of risk on each. This time every position is moved to break-even once it goes your way, so four trades scratch out at entry for nothing instead of losing, and one runs all the way to 1:5.

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stop moved to entry - scratched	+0R	\$0
WTIUSD	Stop moved to entry - scratched	+0R	\$0
XAGUSD	Stop moved to entry - scratched	+0R	\$0
BTCUSD	Stop moved to entry - scratched	+0R	\$0
DJIUSD	Target hit 1:5	+5R	+\$5,000
TOTAL	5 trades	+5R	+\$5,000

WEEK B PROFIT

+\$5,000

+5R on the week, or +5% of the balance - from a single winning trade out of five.

What moving the stop to entry is worth

MANAGEMENT	OUTCOME	R	RESULT
Stops left where they were	4 losses and 1 winner at 1:5	+1R	+\$1,000
Stops moved to entry	4 scratches and 1 winner at 1:5	+5R	+\$5,000
Difference	Same trades, same entries	+4R	+\$4,000

THE POINT OF WEEK B

Nothing about the trades changed - same entries, same stops, same targets. Only the management changed, and the week went from \$1,000 to \$5,000. The cost is that a trade which dips back to entry before running is now closed for nothing instead of eventually winning, so a real week lands somewhere between the two rows.

FOUR WEEKS

The Monthly Total

SCENARIO	PER WEEK	PER WEEK (\$)	PER MONTH	MONTH, FIXED SIZE	MONTH, COMPOUNDED
Week A repeated	+9R	+\$9,000	+36R	+\$36,000	+\$41,158
Week B repeated	+5R	+\$5,000	+20R	+\$20,000	+\$21,551

Fixed size keeps 1R at \$1,000 all month. **Compounded** recalculates 1% from the new balance each week, so the winners get bigger as the account grows. Four trading weeks to a month.

WEEK A - ONE MONTH

+\$36,000

Fixed sizing. Compounded weekly it is **+\$41,158**, taking the balance to \$141,158.

WEEK B - ONE MONTH

+\$20,000

Fixed sizing. Compounded weekly it is **+\$21,551**, taking the balance to \$121,551.

Twelve months, compounded

	WEEK A - BALANCE	GAIN	WEEK B - BALANCE	GAIN
Start	\$100,000	-	\$100,000	-
Month 1	\$141,158	+\$41,158	\$121,551	+\$21,551
Month 2	\$199,256	+\$99,256	\$147,746	+\$47,746
Month 3	\$281,266	+\$181,266	\$179,586	+\$79,586
Month 6	\$791,108	+\$691,108	\$322,510	+\$222,510
Month 9	\$2,225,123	+\$2,125,123	\$579,182	+\$479,182
Month 12	\$6,258,524	+\$6,158,524	\$1,040,127	+\$940,127

EVERY OUTCOME, NOT JUST THE GOOD ONES

Every Possible Week

Five trades means six possible weeks - nothing wins, through to everything wins. Here is all of them, under three ways of running the same trades.

WINNERS	LOSERS	ALL WINNERS AT 1:3	ALL WINNERS AT 1:5	1:3, STOPS MOVED TO ENTRY
0	5	-5R -\$5,000	-5R -\$5,000	+0R \$0
1	4	-1R -\$1,000	+1R +\$1,000	+3R +\$3,000
2	3	+3R +\$3,000	+7R +\$7,000	+6R +\$6,000
3	2	+7R +\$7,000	+13R +\$13,000	+9R +\$9,000
4	1	+11R +\$11,000	+19R +\$19,000	+12R +\$12,000
5	0	+15R +\$15,000	+25R +\$25,000	+15R +\$15,000

WHERE EACH COLUMN TURNS GREEN

At **1:3 with full stops** you need **2 winners out of 5** to make money. At **1:5** you need **1**. With **stops moved to entry** the worst week is flat rather than \$5,000 - you cannot lose a week, only fail to make one. That last column is the whole argument for moving the stop, and it is why Week B matters more than Week A.

The average week

The table above is what *can* happen. This is what it averages to over many weeks, for a given win rate - the number that actually determines whether the account grows.

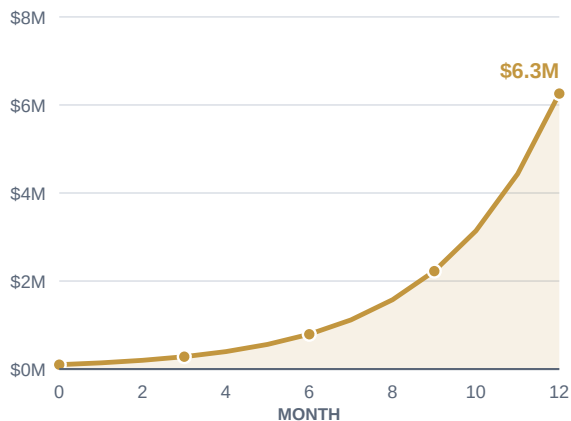
WIN RATE	WINNERS A WEEK	AVERAGE WEEK AT 1:3	AVERAGE WEEK AT 1:5
20%	1.0 of 5	-1.0R -\$1,000	+1.0R +\$1,000
30%	1.5 of 5	+1.0R +\$1,000	+4.0R +\$4,000
40%	2.0 of 5	+3.0R +\$3,000	+7.0R +\$7,000
50%	2.5 of 5	+5.0R +\$5,000	+10.0R +\$10,000
60%	3.0 of 5	+7.0R +\$7,000	+13.0R +\$13,000

A 1:3 plan breaks even at a 25% win rate and a 1:5 plan at 16.7%, which is why the ratio matters more than being right. Costs - spread, commission, financing - are not in these numbers and take roughly 0.05R to 0.15R off every trade.

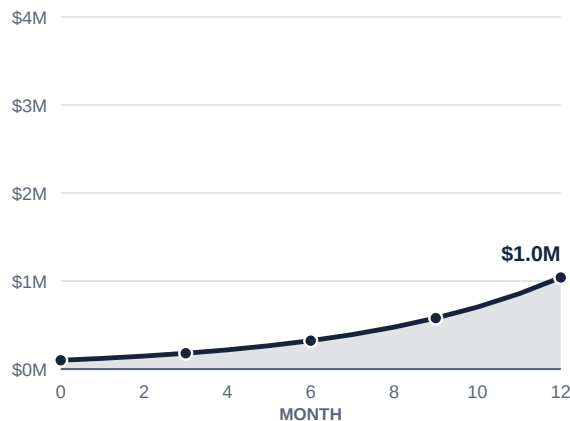
COMPOUNDED WEEKLY

Growth Over Twelve Months

WEEK A REPEATED - +9% a week



WEEK B REPEATED - +5% a week



Note the two vertical scales differ - Week A ends at \$6,258,524, Week B at \$1,040,127. Both curves are the same shape because both are the same arithmetic: a fixed weekly percentage, compounded.

READ THIS BEFORE YOU TRUST THE CHART

Every figure here is correct arithmetic and none of it is a forecast. The charts assume the same week repeats fifty-two times without a single losing one - no month where three assets chop sideways, no gap through a stop, no drawdown. **A 9% week is a very good week, not an average one.** Real results also lose spread, commission and financing on every trade. Treat these numbers as what the sequence is worth if it happens, not as what a year looks like.

EVERY TRADE

\$1,000

Risk \$1,000. Aim for \$3,000 to \$5,000. Take five a week, one on each asset. Move the stop to entry once it is going your way. That is the entire system.